

Kelun Biotech 6990.HK 6990 HK

EQUITY: HEALTH CARE & PHARMACEUTICALS

1H26F preview and FY26F forecast revisions

We expect sales ramp-up and big non-recurring income in 1H26F and anticipate more clinical catalysts in 2H26F

We forecast 1H26F revenue reached CNY1.41bn, up +48.4%, along with a positive earnings book of CNY731mn in 1H26F, led by lawsuit settlement payment

We estimate Kelun Biotech will report 1H26F revenue of CNY1.41bn (+48% y-y), on the back of CNY650mn drug sales (mainly from sac-TMT) and CNY750mn collaboration revenue. We think sac-TMT sales is on track to reach management's target of doubling FY25 sales, considering the accelerated sales ramp-up after NRDL inclusion.

On the margins front, we estimate 1H26F gross margin rose 9.1pp y-y to 78.5%. We forecast opex of CNY994mn in 1H26F (15% y-y), considering the sales team expansion.

We anticipate other income reached CNY750mn in 1H26, owing to payment it received from the legal settlement with MediLink Therapeutics (unlisted).

As a result, net profit should turn positive at CNY731mn (vs a loss of CNY145mn in 1H25).

For 2H26F, we forecast revenue to grow 30% y-y to CNY1.44bn, led by continued sac-TMT sales growth. Together with a gross margin of 81.1% and opex of CNY1.0bn (-8.5% y-y), 2H26F net profit will likely come in at CNY206mn (vs a loss of CNY237mn in 2H25).

Maintain Buy and lift TP from HKD544.42 to HKD612.66

We lower FY26F revenue by 14% but lift earnings estimates by 226% (considering the above-mentioned lawsuit gain), while lifting our mid-term growth estimates, considering the recent smooth clinical development of sat-TMT. (see our reports: *Kelun Biotech (6990 HK) (Buy) - Another big win for sac-TMT in upcoming ASCO*, *Quick Note - Kelun Biotech (6990 HK) (Buy) - The first global phase III clinical trial meet primary endpoints, ahead of schedule*).

We thus lift our DCF-based (assuming an unchanged WACC of 10.8% and an unchanged terminal growth rate of 4.0%) TP from HKD544.42 to HKD612.66. The stock currently trades at 4.0x FY35F sales of CNY26.8bn.

We think the BLA filing of sac-TMT by Kelun Biotech's overseas partner, Merck (MRK US, Not rated) will be a key monitorable in 2H26.

Rating Remains **Buy**

Target price Increased from HKD 544.42 **HKD 612.66**

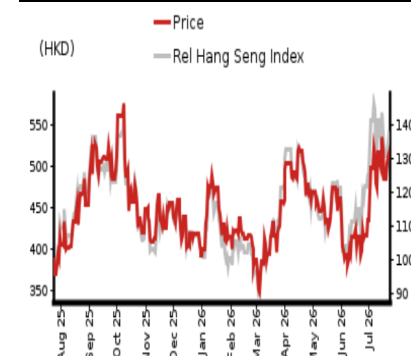
Closing price 23 July 2026 **HKD 521.50**

Implied upside **+17.5%**

Market Cap (USD mn) 15,897.7

ADT (USD mn) 63.4

Relative performance chart



Source: LSEG, Nomura

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Year-end 31 Dec	FY25	FY26F		FY27F		FY28F	
Currency (CNY)	Actual	Old	New	Old	New	Old	New
Revenue (mn)	2,058	3,298	2,851	4,945	4,972	6,252	6,922
Reported net profit (mn)	-382	287	937	1,021	999	1,640	1,746
Normalised net profit (mn)	-382	287	937	1,021	999	1,640	1,746
FD normalised EPS	-1.74	1.31	4.26	4.64	4.54	7.45	7.93
FD norm. EPS growth (%)	-	-	-	255.6	6.7	60.6	74.7
FD normalised P/E (x)	-	-	109.3	-	102.4	-	58.6
EV/EBITDA (x)	-	-	62.9	-	17.8	-	9.6
Price/book (x)	21.0	-	12.5	-	11.1	-	9.3
Dividend yield (%)	-	-	-	-	-	-	-
ROE (%)	-9.3	5.7	14.3	18.0	11.5	23.4	17.3
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash	net cash	net cash

Source: Company data, Nomura estimates

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Key data on Kelun Biotech

Performance

(%)	1M	3M	12M		
Absolute (HKD)	31.0	12.2	39.1	M cap (USDmn)	15,897.7
Absolute (USD)	31.0	12.1	39.2	Free float (%)	69.4
Rel to Hang Seng Index	23.0	15.0	40.3	3-mth ADT (USDmn)	63.4

Income statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	1,933	2,058	2,851	4,972	6,922
Cost of goods sold	-659	-579	-575	-1,071	-1,429
Gross profit	1,274	1,479	2,276	3,901	5,493
SG&A	-1,552	-1,974	-2,009	-2,798	-3,536
Employee share expense					
Operating profit	-279	-495	266	1,103	1,957
EBITDA	-222	-385	353	1,211	2,077
Depreciation	-56	-109	-86	-105	-114
Amortisation	0	-1	-1	-3	-6
EBIT	-279	-495	266	1,103	1,957
Net interest expense	-4	-6	-9	-15	-21
Associates & JCEs					
Other income	140	145	855	99	138
Earnings before tax	-143	-356	1,113	1,187	2,074
Income tax	-124	-26	-167	-178	-311
Net profit after tax	-267	-382	946	1,009	1,763
Minority interests	0	0	-9	-10	-18
Other items					
Preferred dividends					
Normalised NPAT	-267	-382	937	999	1,746
Extraordinary items					
Reported NPAT	-267	-382	937	999	1,746
Dividends					
Transfer to reserves	-267	-382	937	999	1,746

Valuations and ratios

Reported P/E (x)	–	–	109.3	102.4	58.6
Normalised P/E (x)	-394.6	-268.0	109.3	102.4	58.6
FD normalised P/E (x)	–	–	109.3	102.4	58.6
Dividend yield (%)	–	–	–	–	–
Price/cashflow (x)	–	–	172.1	102.9	55.7
Price/book (x)	31.8	21.0	12.5	11.1	9.3
EV/EBITDA (x)	–	–	62.9	17.8	9.6
EV/EBIT (x)	–	–	83.4	19.5	10.2
Gross margin (%)	65.9	71.9	79.8	78.5	79.4
EBITDA margin (%)	-11.5	-18.7	12.4	24.4	30.0
EBIT margin (%)	-14.4	-24.0	9.3	22.2	28.3
Net margin (%)	-13.8	-18.6	32.9	20.1	25.2
Effective tax rate (%)	–	–	15.0	15.0	15.0
Dividend payout (%)	–	–	0.0	0.0	0.0
ROE (%)	-9.5	-9.3	14.3	11.5	17.3
ROA (pretax %)	-11.3	-17.4	9.3	33.6	51.1

Growth (%)

Revenue	25.5	6.5	38.5	74.4	39.2
EBITDA	–	–	–	242.9	71.4
Normalised EPS	–	–	–	6.7	74.7
Normalised FDEPS	–	–	–	6.7	74.7

Source: Company data, Nomura estimates

Cashflow statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	-222	-385	353	1,211	2,077
Change in working capital	-405	-58	-438	-123	-46
Other operating cashflow	197	263	680	-94	-193
Cashflow from operations	-430	-180	595	995	1,837
Capital expenditure	-77	-126	-131	-178	
Free cashflow	-507	-307	464	817	1,837
Reduction in investments	-773	504	-123	-135	-149
Net acquisitions					
Dec in other LT assets	-85	-25	1	1	-11
Inc in other LT liabilities	79	-33	19	20	20
Adjustments	34	91	-2	-2	-170
CF after investing acts	-1,252	231	359	700	1,528
Cash dividends					
Equity issue	1,094	1,777	2,406	0	0
Debt issue	0	0	0	0	0
Convertible debt issue					
Others	-35	-101	-1	0	0
CF from financial acts	1,060	1,677	2,405	0	0
Net cashflow	-192	1,907	2,764	700	1,528
Beginning cash	1,529	1,337	3,244	6,008	6,708
Ending cash	1,337	3,244	6,008	6,708	8,236
Ending net debt	-1,337	-3,244	-6,008	-6,708	-8,236

Balance sheet (CNYmn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	1,337	3,244	6,008	6,708	8,236
Marketable securities	1,732	1,228	1,351	1,486	1,634
Accounts receivable	304	346	508	817	1,043
Inventories	111	241	142	235	274
Other current assets	10	90	92	93	95
Total current assets	3,493	5,149	8,100	9,339	11,283
LT investments					
Fixed assets	595	636	669	719	741
Goodwill					
Other intangible assets	3	1	14	36	64
Other LT assets	178	203	202	202	213
Total assets	4,268	5,989	8,986	10,296	12,301
Short-term debt	0	0	0	0	0
Accounts payable	447	685	293	554	752
Other current liabilities	363	320	338	358	381
Total current liabilities	810	1,004	631	912	1,133
Long-term debt					
Convertible debt					
Other LT liabilities	150	117	136	156	177
Total liabilities	959	1,121	767	1,068	1,309
Minority interest	0	0	9	20	37
Preferred stock	0	0	0	0	0
Common stock	227	233	239	239	239
Retained earnings	3,081	4,634	7,970	8,970	10,715
Proposed dividends					
Other equity and reserves					
Total shareholders' equity	3,309	4,867	8,209	9,209	10,954
Total equity & liabilities	4,268	5,989	8,986	10,296	12,301

Liquidity (x)

Current ratio	4.31	5.13	12.85	10.24	9.96
Interest cover	-73.4	-80.4	31.2	74.1	94.5

Leverage

Net debt/EBITDA (x)	–	–	net cash	net cash	net cash
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash

Per share

Reported EPS (CNY)	-1.21	-1.74	4.26	4.54	7.93
Norm EPS (CNY)	-1.21	-1.74	4.26	4.54	7.93
FD norm EPS (CNY)	-1.22	-1.74	4.26	4.54	7.93
BVPS (CNY)	15.03	22.11	37.30	41.84	49.77
DPS (CNY)	0.00	0.00	0.00	0.00	0.00

Activity (days)

Days receivable	49.0	57.6	54.6	48.6	49.2
Days inventory	48.0	110.7	121.5	64.2	65.2
Days payable	268.6	356.5	310.3	144.4	167.3
Cash cycle	-171.6	-188.2	-134.2	-31.6	-52.9

Source: Company data, Nomura estimates

Company profile

Kelun-Biotech is a biopharmaceutical company founded in 2016. It is one of the pioneers in the development of antibody drug conjugates (ADCs). Kelun-Biotech has accumulated more than ten years of experience in ADC development and establishes its own integrated ADC R&D platform, OptiDC. The Company has entered into out-license agreements with MSD to develop ADC assets for cancer treatment with upfront and milestone payments totaling up to US\$10 billion.

Valuation Methodology

We derive our target price of HKD612.66 from a DCF model, assuming WACC of 10.8% and terminal growth of 4.5%. The benchmark for the stock is Hang Seng Index.

Risks that may impede the achievement of the target price

Downside risks: (1) slower than expected sales ramp up of sac-TMT and other drugs; (2) unsatisfied clinical progress.

ESG

Kelun-Biotech prioritize its ESG strategy adhering its mission. The Board is responsible for overseeing and guiding ESG initiatives and setting ESG strategies and policies directly. The company also set up Environment, Health and Safety ("EHS") working group, which is responsible for monitoring the day-to-day practice of ESG-related matters and implementing ESG policies. For the year ended December 31, 2021 and 2022, expenses in relation to environmental compliance matters were CNY668.2k and CNY771.1k, respectively.

Fig. 1: Kelun Biotech 1H26F income statement

CNY mn	1H25	1H26F	YoY
Revenue	950	1,410	48%
COGS	(290)	(303)	4%
Gross profit	660	1,107	68%
<i>GP margin(%)</i>	69%	79%	
R&D expenses	(612)	(564)	-8%
G&A expenses	(74)	(120)	62%
Selling expenses	(179)	(310)	73%
Operating profit	(204)	113	-155%
<i>OP margin(%)</i>	-21%	8%	
Other income and expenses	32	750	2259%
Interest expenses	(3)	(3)	-1%
Pre-tax profit	(176)	860	-590%
Income tax	30	(129)	-525%
Profit after tax	(145)	731	-603%
Minority interest	-	-	
Net loss to shareholders	(145)	731	-603%

Source: Company data, Nomura estimates

Appendix A-1

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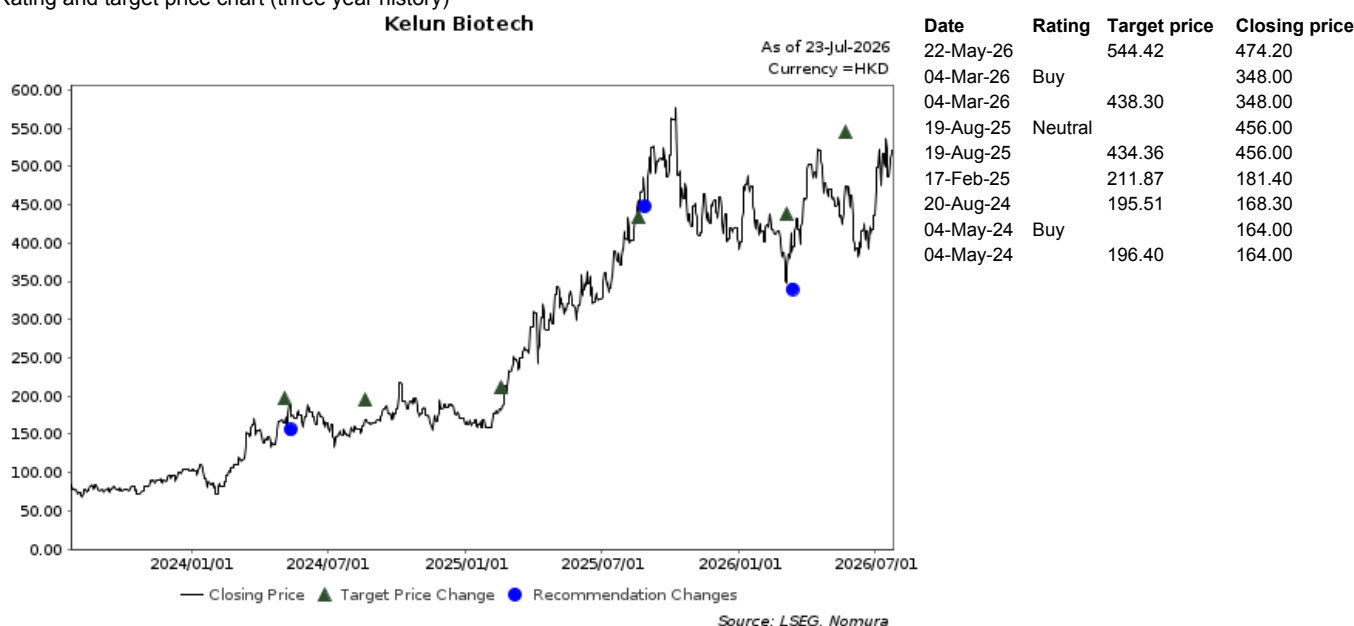
Materially mentioned issuers

Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Kelun Biotech	6990 HK	HKD 521.50	23-Jul-2026	Buy	N/A	

Kelun Biotech (6990 HK)

HKD 521.50 (23-Jul-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)



For explanation of ratings refer to the stock rating keys located after chart(s)

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As at 30 June 2026.

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